

Superstore Business Analysis

From data to business decisions

Explore sales, profit, customers & discount strategy

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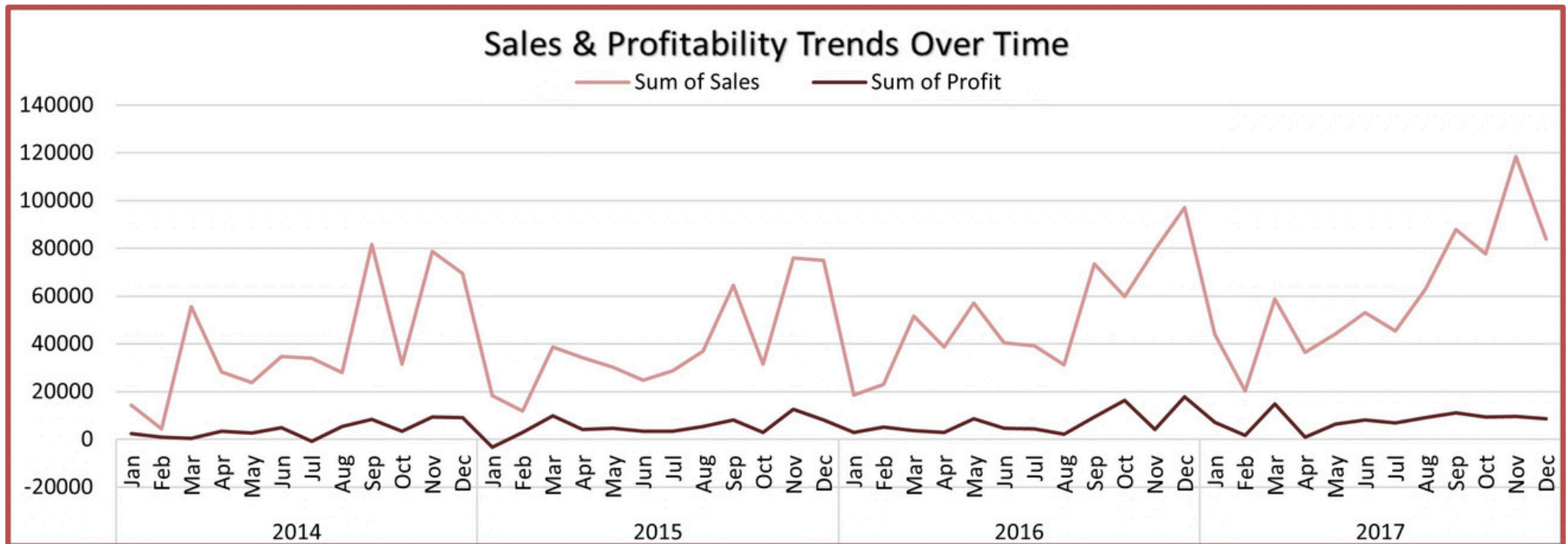


Understanding the Business

I started by looking at the business as a whole. I wanted to understand how Sales and Profit were performing, which products and customers were driving the business, and whether there were any noticeable patterns across time, geography, and discounts.

Then, I started asking questions....

1. Does High Sales Mean High Profit?





High Sales $\neq$ High Profit

Sales did not always translate into higher profit.

For example, November was one of the strongest months in terms of Sales, reaching around \$118K, but Profit was only around \$9.6K.

So I asked myself:

How can a month generate higher Sales but lower Profit?

Looking deeper, I found that discounts in November reached 50% and even 80% in some cases.

Since November is the Black Friday season, this raised another question:

Why use such deep discounts during a high-demand season if they put so much pressure on Profit?

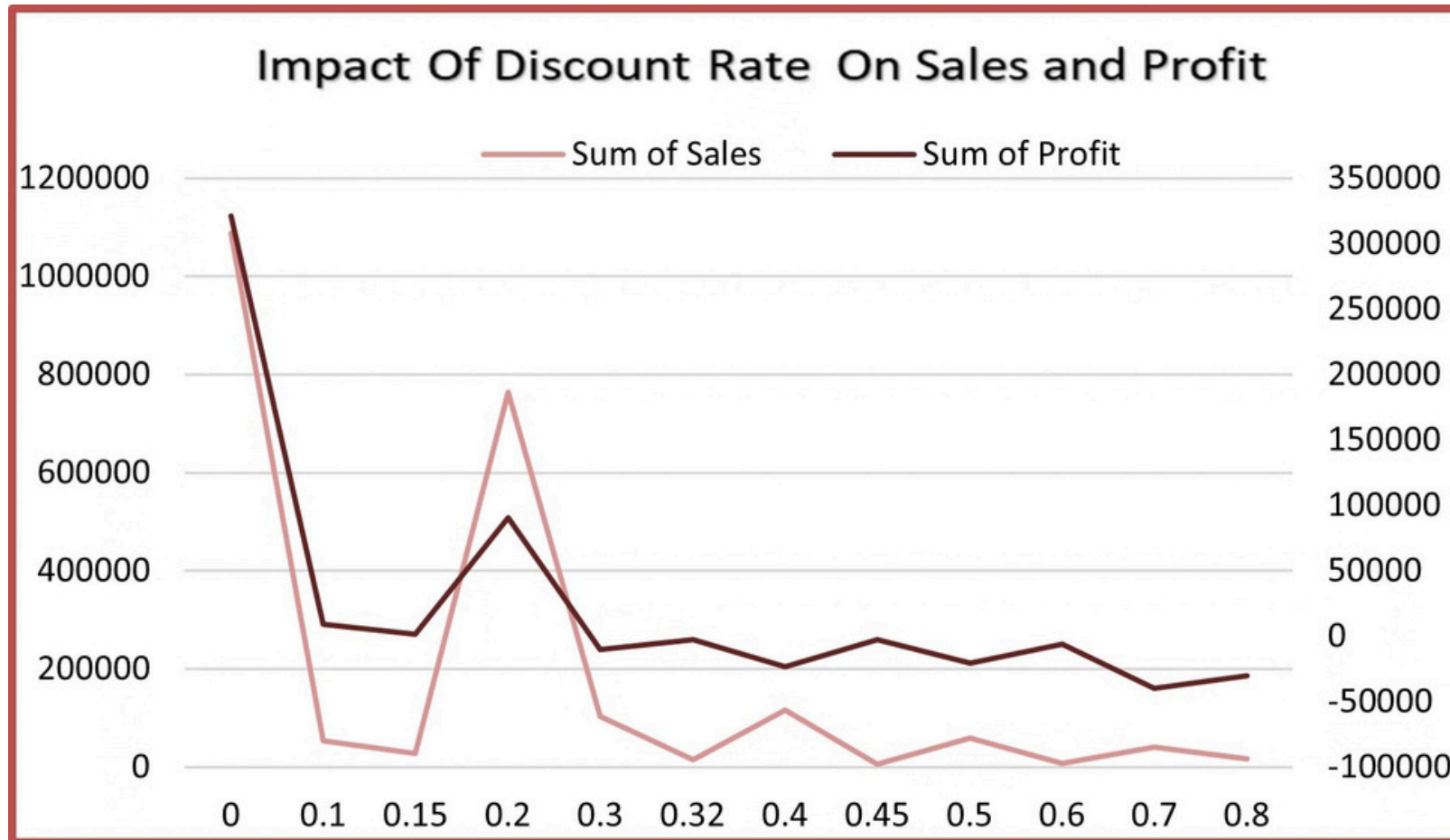
.Recommendation

I would not eliminate discounts during Black Friday. Instead, I would use them more strategically.

- Test a 20% maximum discount on individual products and monitor its impact on Profit.
- Use bundles instead of deep discounts on individual products.
- Start with smaller offers, such as 10%, and test whether they are enough to encourage purchases.
- Take advantage of the psychology behind Black Friday: customers already expect promotions and are more prepared to shop, so the business does not necessarily need extremely deep discounts to attract them.
- Use the high-demand season to increase profitable Sales, not just Sales volume.

**The goal is not to sell more at any cost ...
it is to sell more while protecting Profit.**

2. Do Higher Discounts Increase Profit?





Discounts Can Increase Sales Without Increasing Profit

This was one of the main things I noticed.

When I looked at the relationship between Discount, Sales, and Profit, I found that a higher discount doesn't necessarily mean the business is making more profit.

**At some discount levels, Sales were still high, but Profit dropped noticeably.
And in the data I analyzed, discounts above 20% were associated with negative Profit.**

So I started thinking:

The problem isn't the discount itself.

It's how, when, and where we use it.

Not every Product needs the same discount, and not every Customer needs the same offer.

Recommendation

I wouldn't completely remove discounts. Instead, I'd make them more targeted.

-I'd test a 20% maximum discount threshold and keep monitoring its impact on Profit.

-Instead of giving a big discount on one Product, we could use Bundles so the products support each other.

-We could use a Spend Threshold: if the Order reaches a certain amount, the Customer gets a specific discount.

-Promotions should focus more on Products with healthy margins.

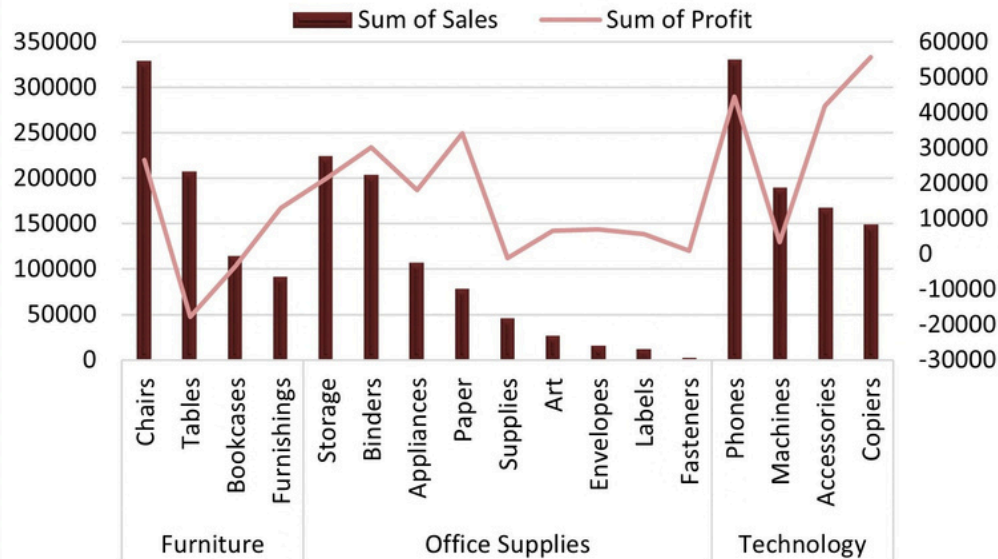
-I wouldn't give the same discount to a Product that already has a limited margin.

The goal isn't to avoid discounts...

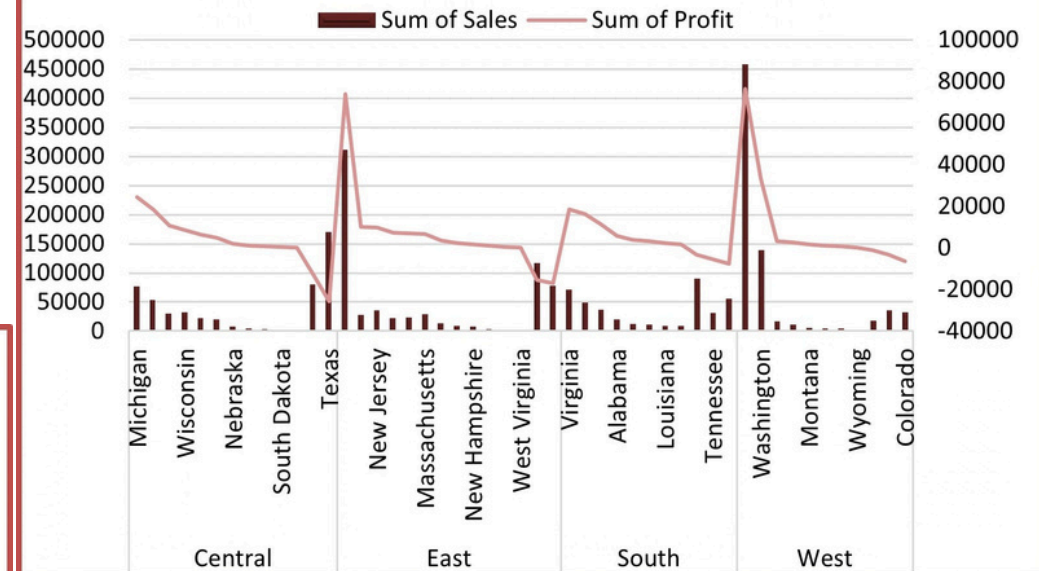
It's to make sure they actually create value for the business.

3.Where Are We Losing Profit?

Product Performance: Sales vs Profitability



Geographical Performance: Sales vs. Profitability by State





What Did I Find?

- Furniture wasn't performing as well as Technology and Office Supplies in terms of Profit.
 - When I drilled down to the Sub-category level, Tables stood out as a clear red flag.
- Tables generated around \$206.9K in Sales, but at the same time, they generated around -\$17.7K in Profit.

So I asked:

How can a Product sell this much and still lose money?

I drilled down further into Geography, Discounts, and Products and found that some of the losses were concentrated in (Texas), especially around (Furniture/Clearance) transactions where higher discounts were present.

This suggests that the Pricing & Discount Strategy needs to be reviewed in these cases, because higher Sales don't always mean higher Profit.

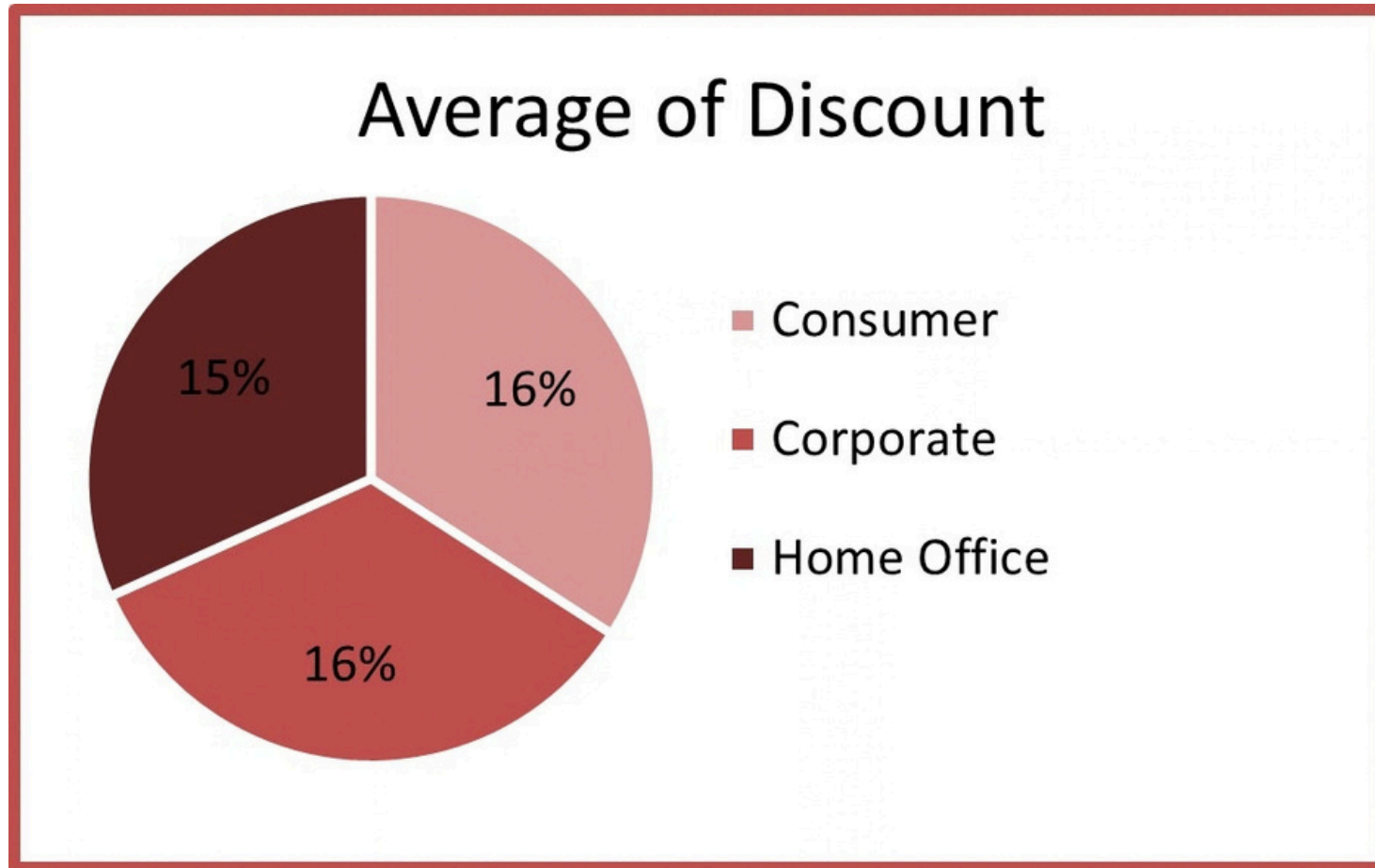
Recommendation

Instead of relying on big discounts to push Furniture sales, I'd focus more on making the Product itself more attractive.

- Invest in better Product Photography, Showcasing, and Marketing to highlight the quality and make customers want the product for their own space.
- Avoid giving discounts on individual products when they already have limited profitability.
- For products with lower Sales, use Bundles instead. For example, a Table + Chairs Bundle with a limited discount, like 10%.

This could make the offer more attractive while protecting Profit better than a deep discount on the Table alone.

4. Should Every Customer Get the Same Discount?





One Discount Doesn't Fit Every Customer

When I looked at how discounts were being used across customer segments, something caught my attention.

The average discount was quite similar across the different segments – around 15–16%.

And that made me ask:

Does it make sense to give similar discount levels to Customers with different needs, order sizes, and buying behaviors?

A Corporate Customer, for example, might be buying a larger order or multiple Products. So instead of giving them the same discount every time, the discount could depend on things like:

Order Value / Quantity / Bundle / Contract Conditions

While a Consumer buying one Product might not need the same type of offer.

Recommendation

I'd move from a Flat Discount approach to more Customer/Order-based Discounting.

- Larger Corporate Orders could have different discount conditions.**
- Use Bundles or Bulk Purchase Offers.**
- Link the discount to Order Value or Quantity.**
- Focus promotions on Products where the Margin can actually support the offer.**

Not every Customer needs the same offer.



So, What Did the Data Tell Me?

After looking at the business from different angles, one thing kept coming up:

The problem isn't simply the Product. Pricing & Discount Strategy seems to play a major role in how much value the business gets from each sale.

Some Customers are willing to buy with little or no Discount, while some Products generate high Sales but weak or even negative Profit when heavily discounted.

So, the goal shouldn't be to simply sell more or remove Discounts.

It's about using the right Price and the right Offer for the right Product and Customer.

**The goal isn't to sell more at any cost.
It's to turn Sales into Profitable Growth.**